SUPERIOR COURT, STATE OF CALIFORNIA
COUNTY OF SANTA CLARA

Department 12
Honorable Nahal Iravani-Sani, Presiding
Courtroom Clerk, Ryan Nguyen
191 North First Street, San Jose, CA 95113
Telephone: (408) 882-2230

DATE: 09/04/2026 TIME: 9:00 A.M. and 9:01 A.M.

Welcome to Department 12. The Court's tentative rulings for the Law & Motion Calendar are below.

TO CONTEST THE RULING: Before 4:00 p.m. ON THE DAY PRIOR TO THE HEARING, YOU MUST NOTIFY:

(1) The Court - by calling (408) 808-6856 and emailing Department12@scscourt.org
(2) Opposing side - by phone or email that you plan to appear and contest the ruling.

The Court will not hear argument and the tentative ruling will be adopted if these notifications are not made. (Cal. Rule of Court 3.1308(a)(1); Civil Local Rule 8.D.)

Please indicate the specific issue being contested when calling/emailing the Court and counsel

IN-PERSON APPEARANCES: Department 12 is a fully open courtroom conducting in-person hearings on the days it has scheduled matters. The Court strongly encourages in-person appearances for any **contested** law-and-motion matter. If appearing remotely, **VIDEO IS REQUIRED**. Audio only appearances are not permitted absent exceptional circumstances. (Civil Local Rule 5.B.)

REMOTE APPEARANCES: Remote appearance is governed by Civil Local Rule 5 and General Local Rule 9. Department 12 uses UDC as its remote platform.
The Court encourages in-person appearance, but if appearing remotely, **VIDEO IS REQUIRED**. Audio only appearances are not allowed absent exceptional circumstances. (Civil Local Rule 5.B.)

TELEPHONIC APPEARANCE IS PROHIBITED, unless the Court grants an exception. (Civil Local Rule 5.A.) "CourtCall" is no longer available.

RECORDING IS PROHIBITED: State and local court rules prohibit recording court proceedings without a court order. This prohibition applies to both in-person and remote appearances.

COURT REPORTERS ARE NOT PROVIDED: If any party wishes to have a court reporter, the appropriate forms and process may be found on the court's website https://www.scscourt.org/general_info/court_reporters.shtml.

SCHEDULING MOTION HEARINGS: Please reserve your next hearing date using Court Schedule—an online scheduling tool on the Santa Clara County court website.
https://reservations.scscourt.org or call 408-882-2430 between 8:30 a.m. and 12:30 p.m. (Mon.-Fri.) You must then file your motion papers no more than five court days after reserving the hearing date, or the date will be released to other cases.

FINAL ORDERS: The prevailing party shall prepare the order unless otherwise ordered. (See California Rule of Court 3.1312.) **Please Note:** Any proposed orders must be submitted with the Judicial Council Form EFS-020 Proposed Order (Cover Sheet). Please include the date, time, department and line number.

SUPERIOR COURT, STATE OF CALIFORNIA
COUNTY OF SANTA CLARA

Department 12
Honorable Nahal Iravani-Sani, Presiding
Courtroom Clerk, Ryan Nguyen
191 North First Street, San Jose, CA 95113
Telephone: (408) 882-2230

DATE: 09/04/2026 TIME: 9:00 A.M. and 9:01 A.M.

LINE #	CASE #	CASE TITLE	RULING
LINE 1	17CV320200	Pedro Tostado Diaz et. al v. Luis Santiago et al.	MOTION TO ENFORCE SETTLEMENT Please Ctrl Click (or scroll down to) Line 1
LINE 2	24CV453642	Williams Herrera Arenas v. Ford Motor Company et al.	MOTION FOR SUMMARY ADJUDICTION Please Ctrl Click (or scroll down to) Line 2
LINE 3	25CV456971	Toeniskoetter Constuction, Inc. v. VitroLabs Inc	MOTION TO EXPUNGE MECHANICS LIEN Notice of entry of dismissal filed 8/28/26 – Off Calendar
LINE 4	25CV465349	Yiting Zhao et al v. Dr. Yueyue Guo, Lac et al.	PETITION TO COMPEL ARBITRATION Please Ctrl Click (or scroll down to) Line 4
LINE 5	25CV476583	Jason Adair v. Elisity, Inc.	MOTION TO COMPEL DISCOVERY Please Ctrl Click (or scroll down to) Lines 5-8
LINE 6			
LINE 7			
LINE 8			
LINE 9			
LINE 10			
LINE 11			
LINE 12			

- oo0oo -

Calendar Line 1
Case Name: *Pedro Tostado Diaz, et al. v Luis Santiago et al.*
Case No. 17CV320200

BACKGROUND

This neighbor-easement dispute has been pending since December 8, 2017. Plaintiffs Pedro Tostado Diaz and Maria Raquel Tostado hold a recorded ingress -and -egress easement over a shared driveway on Defendants Luis and Maria Santiago's property. The parties resolved the litigation by a Release and Settlement Agreement dated June 26, 2019. A Stipulation Re Settlement was filed on July 30, 2019, and the Court retained jurisdiction under Code of Civil Procedure section 664.6.

The Agreement governs use of the driveway easement. As relevant here, Section 1 limits each family to one parked vehicle in a designated marked space alongside the fence. Section 3 permits vehicle washing and maintenance on the driveway for up to four hours, provided the vehicle remains parked alongside the fence as described in Section 1. Section 4 prohibits any party, family member, friend, or guest from placing or storing personal property on the driveway. Section 5 prohibits temporary or permanent barricades or obstructions on the driveway. Section 9 requires a good-faith meet and confer before enforcement. Section 11 provides tiered liquidated damages of $1,000 for a first violation, $2,000 for a second, $3,000 for a third, and $4,000 for each fourth and subsequent violation, plus reasonable attorneys' fees and costs to the prevailing party.

The Court has enforced the Agreement three times:

1. July 2, 2020: Plaintiffs were awarded $1,000 in sanctions for a first violation.
2. January 19, 2024: Plaintiffs were awarded $2,000 in liquidated damages, plus $3,638.42 in attorneys' fees and costs, for a second violation.
3. October 4, 2024: Plaintiffs were awarded $3,000 in liquidated damages, plus $4,638.00 in attorneys' fees and costs, for a third violation. The Court found the Agreement "clear and unambiguous" and cautioned that "the parties should clearly understand what the Agreement provides going forward."

Plaintiffs now bring their fourth motion to enforce, seeking liquidated damages for 18 to 22 alleged post-October 4, 2024 breaches, plus attorneys' fees and costs.

REQUEST FOR JUDICIAL NOTICE

Plaintiffs request judicial notice of the Declaration of Gregory C. Simonian in Support of Motion to Enforce Settlement Agreement filed on August 2, 2024, a document in this Court's file. Court records are subject to judicial notice, and a court must take judicial notice of a matter specified in Evidence Code section 452 when the requesting party gives sufficient notice and provides sufficient information. Cal Evid Code § 452, Cal Evid Code § 453. A party seeking judicial notice of material in the same court file must identify the specific material and comply with California Rules of Court, rule 3.1306(c). Cal. Rules of Court, rule 3.1306.

Plaintiffs provided the declaration as Exhibit A to their Request for Judicial Notice and identified the filing sought to be noticed. The request satisfies Evidence Code sections 452 and 453. Cal Evid Code § 452, Cal Evid Code § 453.

Plaintiffs' Request for Judicial Notice is GRANTED. The Court takes judicial notice of the existence and contents of the August 2, 2024 Simonian declaration as a filing in this case, but not for the truth of hearsay matters asserted therein, except to the extent the declaration reflects prior meet-and-confer correspondence independently corroborated in the record.

EVIDENTIARY ISSUES

Defendants' opposition includes no formal motion to strike and no separately stated evidentiary objections. Defendants argue that certain facts were improperly raised for the first time in reply. The Court addresses that issue in the merits discussion. To the extent Defendants raise credibility or interpretation issues through the Santiago Declaration, the Court weighs that evidence in the ordinary course.

LEGAL STANDARD

Code of Civil Procedure section 664.6 authorizes the Court, on motion, to enforce a written settlement agreement signed by the parties where the Court has retained jurisdiction. In ruling on such a motion, the Court may receive evidence, resolve disputed facts, and enter judgment under the settlement's terms. The Court may enforce the parties' agreed terms; it may not create material terms for them.

The Agreement satisfies section 664.6. It is in writing, signed by the parties, approved as to form by counsel, and includes an express stipulation for continuing jurisdiction.

MEET-AND-CONFER REQUIREMENT

Section 9 conditions liquidated damages under Section 11 on a good-faith meet and confer, defined as "either an in-person conversation or telephone conversation in which the Parties respectfully identify the issue in dispute and propose one or more resolutions." The Court has required strict compliance with this condition in prior orders.

Vehicle parking violations. The parking issue —Mr. Santiago parking vehicles outside the designated space and blocking the driveway — was extensively addressed before the third motion. Mr. Simonian's March 19, April 15, and June 3, 2024 letters addressed parking, vehicle maintenance outside the designated space, and driveway obstruction. Mr. Allen's June 21, 2024 letter responded to those issues. Defense counsel acknowledged in a July 9, 2024 telephone call that the parties had made "as much progress as possible through the meet and confer process." The October 2024 Order found those efforts sufficient.

After that order, Mr. Tostado avers that he attempted in-person meet-and-confer discussions with Mr. Santiago, who responded with profanity, dismissiveness, and physical gestures rather than substantive engagement. The current alleged parking violations involve the same conduct previously met and conferred upon and addressed by Court order. Under these circumstances, and given Defendants' prior acknowledgment that further progress was unlikely, the meet-and-confer requirement is satisfied as to the vehicle -parking and driveway-blocking violations.

Bench-hanging violations. Plaintiffs also challenge Mr. Santiago's alleged practice of hanging work benches on the fence after washing his vehicle in January, February, and March 2026. Mr. Tostado states that he attempted to address the issue directly with Mr. Santiago and was ignored. Although the October 2024 Order did not specifically address bench-hanging, the Court finds the meet-and-confer showing adequate for this discrete issue because Mr. Tostado raised it in person and was rebuffed, and the broader issue of personal property on or near the driveway and fence has been repeatedly addressed.

MERITS: ALLEGED VIOLATIONS

A. Parking Outside Designated Space / Blocking the Driveway

The October 2024 Order was clear: Section 1 permits each family to park one vehicle in its designated marked space alongside the fence. Vehicle maintenance under Section 3 must occur with the vehicle parked in that designated space, not in front of the garage or elsewhere on the driveway.

Mr. Tostado declares, under penalty of perjury, that he photographed Mr. Santiago parking a second vehicle outside the designated space and blocking the driveway on February 11, April 8, April 17, April 30, May 8, May 12, May 15, June 16, June 19, July 3, July 12, July 18, August 20, August 29, September 17, and October 2, 2025. He further declares that Mr. Santiago parked his own truck outside the designated space on September 5 and November 1, 2025.

Defendants respond that the vehicles were present only for loading and unloading, and that a September 2019 text exchange permitted that practice. The argument is not persuasive. Mr. Tostado's text response stated: "Please follow the court mediation agreement. The use of the easement does not include loading or unloading." That language did not authorize parking outside the designated space. In any event, the October 2024 Order already rejected the same position. The issue is location, not duration or purpose. The submitted photographs depict vehicles blocking the driveway outside the designated space, not merely momentary active unloading with a driver present.

The Court finds that Defendants repeatedly violated Sections 1, 4, and 5 of the Agreement after the October 4, 2024 Order.

Plaintiffs identify 18 discrete incidents between February and November 2025 supported by date-stamped photographs. Defendants do not deny the photographs; they offer an interpretation the Court rejects. The Court finds 18 violations established:

1. Sixteen incidents involving a second vehicle blocking the driveway outside the designated space, in violation of Sections 1, 4, and 5.
2. Two incidents involving Mr. Santiago's own truck parked outside the designated space, in violation of Sections 1 and 5.

The Court therefore finds 18 provable violations after the October 4, 2024 Order.

B. Hanging Benches on the Fence

Section 5 prohibits temporary or permanent barricades or obstructions on the driveway and prohibits storage of items on or near the fence demarking the property line with Tract 8155. Plaintiffs contend Mr. Santiago washed his vehicle and hung large work benches on the fence on January 18, February 13–14, and March 1–36, 2026.

Mr. Santiago states the benches are vehicle-washing implements, are used only while washing is in progress, are hung within the confines of his parking space, and are returned to his garage afterward. He further states he stopped hanging them on the exterior fence after Mr. Tostado complained.

The Court finds this issue closer. Section 5's prohibition on items "stored on or near the fence demarking the property line with Tract 8155" was directed at storage, including items such as plywood. The prior orders did not decide whether temporarily hanging washing implements within the parking-space boundary during an active wash constitutes an obstruction. Given that ambiguity, the Court declines to find an additional breach on this issue.

No additional violation is found based on the bench- hanging allegations.

LIQUIDATED DAMAGES

Section 11 provides $4,000 per breach for the fourth and each subsequent violation. The three prior enforcement orders supply the predicate violations. Each of the 18 violations found above is therefore a fourth-or-subsequent violation subject to $4,000 in liquidated damages.

Total liquidated damages are $72,000.

Defendants' penalty argument is rejected. The parties expressly agreed, through counsel, that the liquidated-damages amounts were reasonable compensation for each provable breach. On this section 664.6 motion, the Court enforces the parties' agreed terms and does not rewrite them.

ATTORNEYS' FEES AND COSTS

Section 11 entitles the prevailing party to reasonable attorneys' fees and costs. Plaintiffs are the prevailing party.

Plaintiffs request $16,254.00 in fees, based on 25.2 hours at $645 per hour, plus $60 in filing costs. Mr. Simonian has practiced in California for approximately 40 years and holds an AV Martindale-Hubbell rating. His billing records are attached as Exhibit C to his declaration, with partial redactions for privileged communications.

Defendants request $5,157.00 in fees, based on 11.46 hours at $450 per hour, on the ground that they are the prevailing parties. Because Defendants do not prevail, their fee request is DENIED.

The Court finds Plaintiffs' requested hours reasonable in light of the motion's scope, the number of alleged violations, the photographic evidence, and the need to address the prior enforcement history. The $645 hourly rate is reasonable for counsel of Mr. Simonian's experience in the San Jose/Silicon Valley market. The Court anticipates awarding an additional amount for hearing time if either party contests this ruling.

Plaintiffs are awarded $16,254.00 in attorneys' fees and $60.00 in costs.

DISPOSITION

The Court rules as follows:

1. Plaintiffs' Request for Judicial Notice is GRANTED.
2. Plaintiffs' Motion to Enforce Settlement Agreement is GRANTED IN PART.
3. The Court finds that Defendants Luis Santiago and Maria Santiago committed 18 provable violations of the Release and Settlement Agreement after the October 4, 2024 Order, each constituting a fourth-or-subsequent violation under Section 11.
4. Plaintiffs are awarded $72,000 in liquidated damages against Defendants, jointly and severally.
5. Plaintiffs are awarded $16,254.00 in attorneys' fees and $60.00 in costs as the prevailing party.
6. Defendants shall pay Plaintiffs a total of $88,314.00. To make payment realistic while preserving the full effect of this Order, payment may be made in monthly installments as follows:
    a. Defendants shall pay Plaintiffs not less than $1,000 per month, beginning on October 1, 2026, and continuing on the 1st day of each month thereafter until the total amount of $88,314.00 is paid in full.
    b. Each installment shall be delivered to Plaintiffs' counsel, or as otherwise agreed in writing by the parties, and shall be credited first to any outstanding costs and fees and then to liquidated damages, unless the parties agree otherwise in writing.
    c. The installment schedule does not reduce, compromise, or waive any portion of the $88,314.00 award. The full amount remains ordered, enforceable, and due until paid in full.
    d. No acceptance of a partial or late payment shall constitute a waiver of Plaintiffs' right to enforce this Order, unless the waiver is in a written agreement signed by Plaintiffs or their counsel.
    e. If Defendants fail to make any required monthly installment within 5 day grace period after its due date, Plaintiffs may seek enforcement of the unpaid balance, and the Court may, upon noticed application or other proper procedure, order the entire unpaid balance immediately due and enforceable, together with any additional recoverable fees and costs incurred in enforcing this payment provision.
    f. Defendants may prepay all or any part of the outstanding balance at any time without penalty.
7. Defendants' request for attorneys' fees and costs is DENIED.
8. The parties are again admonished that the Agreement is clear and unambiguous. Any vehicle parked on the driveway must be parked within the designated marked space

alongside the fence. No vehicle may be parked in front of the garage, in the turnabout, or elsewhere on the driveway, regardless of duration or purpose. No personal property may be placed or stored on the driveway. Future violations remain subject to liquidated damages under Section 11, and the Court may consider additional remedies, including contempt, if warranted.

Plaintiff to prepare the final proposed order, accompanied by the necessary EFS-020 within 7 days of the hearing.

- oo0oo -

Calendar Line 2
Case Name: *Williams Herrera Arenas v. Ford Motor Co., et al.*
Case No.: 24-CV-453642

Motion for Summary Adjudication to the Complaint by Defendant Ford Motor Company

Factual and Procedural Background

This is an action for violations of the Song-Beverly Consumer Warranty Act and Fraud by plaintiff Williams Herrera Arenas ("Plaintiff") against defendants Ford Motor Company ("Ford") and Frontier Ford (collectively, "Defendants").

According to the complaint, on July 7, 2020, Plaintiff entered into a warranty contract with defendant Ford regarding a 2019 Ford Mustang ("vehicle" or "subject vehicle"), which was manufactured and/or distributed by Ford. (Complaint at ¶ 10.) The warranty contract contained various warranties, including but not limited to the bumper-to-bumper warranty, powertrain warranty, emission warranty, etc. (Id. at ¶ 11, Ex. A.)

Defects and nonconformities to warranty manifested themselves within the applicable express warranty period, including but not limited to, transmission defects, engine defects, and electrical defects. (Complaint at ¶ 15.) For example, defendant Ford knew that vehicles equipped with the 10-speed transmission had one or more defects that can result in: (1) harsh and or hard shifting; and (2) jerking, shuddering, and/or juddering ("Transmission Defect"). (Id. at ¶¶ 26, 61.) These conditions present a safety hazard and are unreasonably dangerous to consumers because they can suddenly and unexpectedly affect the driver's ability to control the vehicle's speed, acceleration, deceleration, and/or overall responsiveness of the vehicle in various driving conditions. (Id. at ¶ 61.)

Under Song-Beverly, defendant Ford had an affirmative duty to promptly offer to repurchase or replace the vehicle at the time if it failed to conform to the terms of the express warranty after a reasonable number of repair attempts. (Complaint at ¶ 18.) Ford has failed to either promptly replace the vehicle or make restitution in accordance with Song-Beverly. (Id. at ¶ 19.)

Plaintiff also alleges defendant Ford committed fraud by allowing the vehicle to be sold without disclosing the Transmission Defect. (Complaint at ¶¶ 57-72.) Had Plaintiff known about the Transmission Defect, he would not have purchased the vehicle. (Id. at ¶¶ 63, 67.)

On December 10, 2024, Plaintiff filed the operative complaint against Defendants alleging causes of action for:

(1) Violation of Subdivision (D) of Civil Code Section 1793.2;
(2) Violation of Subdivision (B) of Civil Code Section 1793.2;
(3) Violation of Subdivision (A)(3) of Civil Code Section 1793.2;
(4) Breach of the Implied Warranty of Merchantability;
(5) Fraudulent Inducement-Concealment; and
(6) Negligent Repair.

On January 16, 2025, defendant Ford filed an answer generally denying allegations of the complaint and asserting affirmative defenses.

On June 9, 2026, defendant Ford filed the motion presently before the court, a motion for summary adjudication to the complaint. Plaintiff filed written opposition. Ford filed reply papers and evidentiary objections.

Trial is scheduled for October 5, 2026.

Motion for Summary Adjudication

Defendant Ford moves for summary adjudication of the fifth cause of action on the ground that Plaintiff lacks necessary evidence showing that: (1) the subject vehicle was manufactured with a Transmission Defect; and (2) Ford knew of the Transmission Defect and concealed the defect, inducing Plaintiff into purchasing the vehicle.

Ford's Evidentiary Objections

"In determining if the papers show that there is no triable issue as to any material fact, the court shall consider all of the evidence set forth in the papers, except the evidence to which objections have been made and sustained by the court…" (Code Civ. Proc., § 437c, subd. (c).)

"In granting or denying a motion for summary judgment or summary adjudication, the court need rule only on those objections to evidence that it deems material to its disposition of the motion. Objections to evidence that are not ruled on for purposes of the motion shall be preserved for appellate review." (Code Civ. Proc., § 437c, subd. (q).)

In reply, Ford filed objections to evidence submitted with the opposition papers. The court however declines to rule on the objections as they are not material to the outcome of the motion for reasons explained below.

Legal Standard

Any party may move for summary judgment. (Code Civ. Proc., § 437c, subd. (a); *Aguilar v. Atlantic Richfield Co.* (2001) 25 Cal.4th 826, 843 (*Aguilar*).) "The motion for summary judgment shall be granted if all the papers submitted show that there is no triable issue as to any material fact and that the moving party is entitled to a judgment as a matter of law." (Code Civ. Proc., § 437c, subd. (c).) "The object of the summary judgment procedure is 'to cut through the parties' pleadings' to determine whether trial is necessary to resolve their dispute. [Citation.]" (*Spinks v. Equity Residential Briarwood Apartments* (2009) 171 Cal.App.4th 1004, 1020 (*Spinks*).)

"[T]he party moving for summary judgment bears an initial burden of production to make a prima facie showing of the nonexistence of any triable issue of material fact…" (*Aguilar, supra,* 25 Cal.4th at p. 850.) "A prima facie showing is one that is sufficient to support the position of the party in question." (*Id.* at p. 851.)

If a moving defendant makes the necessary initial showing, the burden of production shifts to the plaintiff to make a prima facie showing of the existence of a triable issue of material fact. (Code Civ. Proc., § 437c, subd. (p)(2); see *Aguilar, supra,* 25 Cal.4th at p. 850.)

Throughout the process, the trial court "must consider all of the evidence and all of the inferences drawn therefrom." (*Aguilar, supra,* 25 Cal.4th at p. 856.) The moving party's evidence is strictly construed, while the opponent's is liberally construed. (*Id.* at p. 843.)

Similarly, "[a] party may seek summary adjudication on whether a cause of action, affirmative defense, or punitive damages claim has merit or whether a defendant owed a duty to a plaintiff. [Citation.] 'A motion for summary adjudication…shall proceed in all procedural respects as a motion for summary judgment.' [Citation.]" (*California Bank & Trust v. Lawlor* (2013) 222 Cal.App.4th 625, 630.)

"[S]ummary judgment (or summary adjudication) is a drastic remedy and should be used with caution. [Citation.] Because summary judgment is a drastic procedure all doubts as to the propriety of granting a motion for summary judgment should be resolved in favor of the party opposing the motion. [Citations.]" (*Tully v. World Savings & Loan Assn.* (1997) 56 Cal.App.4th 654, 660; see *Kernan v. Regents of University of California* (2022) 83 Cal.App.5th 675, 684 ["The drastic remedy of summary judgment may not be granted unless reasonable minds can draw only one conclusion from the evidence."].)

Ford's Evidence

The motion for summary adjudication is directed to the fifth cause of action for fraudulent inducement – concealment.

"[T]he elements of an action for fraud and deceit based on concealment are: (1) the defendant must have concealed or suppressed a material fact, (2) the defendant must have been under a duty to disclose the fact to the plaintiff, (3) the defendant must have intentionally concealed or suppressed the fact with the intent to defraud the plaintiff, (4) the plaintiff must have been unaware of the fact and would not have acted as he did if he had known of the concealed or suppressed fact, and (5) as a result of the concealment or suppression of the fact, the plaintiff must have sustained damage." (*Marketing West, Inc. v. Sanyo Fisher (USA) Corp.* (1992) 6 Cal.App.4th 603, 612-613.)

"Defendants moving for summary judgment (or summary adjudication) may satisfy their initial burden either by producing evidence of a complete defense or by showing the plaintiff's inability to establish a required element of the case. [Citations.]" (*Spinks, supra,* 171 Cal.App.4th at p. 1021.)

Defendant Ford argues Plaintiff cannot prove the necessary elements for fraudulent inducement – concealment. Specifically, that Plaintiff lacks evidence showing that: (1) the subject vehicle was manufactured with a Transmission Defect; and (2) Ford knew of the Transmission Defect and concealed the defect, inducing Plaintiff into purchasing the vehicle. In support, Ford relies primarily on Plaintiff's factually devoid discovery responses.

A moving party on a motion for summary judgment (or summary adjudication) may rely on factually devoid discovery responses to shift the burden of proof. (*Lopez v. Super. Ct.* (1996)

45 Cal.App.4th 705, 713.) Once the burden shifts as a result of the factually devoid discovery responses, the opposing party must set forth specific facts which prove the existence of a triable issue of material fact. (*Ibid.*)

For example, in *Union Bank v. Superior Court* (1995) 31 Cal.App.4th 573 (*Union Bank*), cited in the moving papers, the defendant supported its motion for summary judgment with the plaintiff's answers to requests for admissions and interrogatories. (*Union Bank, supra,* at pp. 577-578.) The defendant's interrogatories asked plaintiff to state all facts and to identify all witnesses and documents which supported the plaintiff's cause of action for fraud. (*Id.* at p. 578.) The plaintiff replied only that he "believe[d]" the defendant "knowingly and fraudulently" committed certain allegedly deceitful acts. (*Ibid*.)

The Court of Appeal concluded these "factually devoid" discovery responses were enough to meet the defendant's obligation under section 437c, subdivision (o)(2), to show that one or more elements of the cause of action cannot be established. (*Union Bank, supra,* 31 Cal.App.4th at pp. 592-593.) Consequently, the burden shifted to plaintiff to proffer admissible evidence which disclosed the existence of a triable factual issue about whether the defendant committed the alleged fraud. (*Id.* at p. 593.)

Here, defendant Ford submits Plaintiff's responses to special interrogatories nos. 13-15 which require Plaintiff to state all facts and identify all persons and documents that support the fifth cause of action. (See Ford's Sep. Stmt. of Undisputed Facts at Nos. 9-11.) The court finds these responses to be factually devoid as Plaintiff fails to provide evidence demonstrating the subject vehicle was manufactured with a Transmission Defect and that Ford knew of the Transmission Defect and concealed the defect from him. Ford also submits evidence of Plaintiff's document production, consisting of 34 total pages including: (1) the Retail Installment Sales Contract and related sales documents; (2) loan payment information; (3) some repair orders for the subject vehicle; (4) Plaintiff's insurance identification card; and (5) the subject vehicle's registration card. (Id. at Fact No. 12; Hollenbeck Decl. at Ex. D.) None of these documents prove the necessary elements to support a claim for fraudulent inducement – concealment.
Thus, as defendant Ford has met its initial burden, the burden shifts to Plaintiff to raise a triable issue of material fact.

Plaintiff's Evidence

A triable issue of material fact exists "if, and only if, the evidence would allow a reasonable trier of fact to find the underlying fact in favor of the party opposing the motion in accordance with the applicable standard of proof." (*Aguilar, supra,* 25 Cal.4th at p. 850, fn. omitted.) If the plaintiff opposing summary judgment presents evidence demonstrating the existence of a disputed material fact, the motion must be denied. (*Id.* at p. 856.)

In opposition, Plaintiff argues defendant Ford had prior knowledge of the Transmission Defect in the form of four Technical Service Bulletins ("TSB"). (See Plaintiff's Additional Facts at Nos. 5-8.) Plaintiff however fails to submit TSB 24-2101 with his opposition papers. And though Ford submits a copy of TSB 24-2101 with its reply papers, the document does not assist Plaintiff as it was issued on March 28, 2024, almost four years *after* Plaintiff purchased his vehicle. As to the remaining TSB, as pointed out in reply, these do not relate to Plaintiff's vehicle and thus fail to address whether Ford had knowledge of the Transmission Defect. Plaintiff also provides his own declaration in support of his opposition. But, Plaintiff's declaration does not substantively address whether the subject vehicle was manufactured with a Transmission Defect and if Ford knew of the Transmission Defect and concealed the defect from him. Furthermore, Plaintiff's remaining arguments regarding duty to disclose, reliance, and materiality are simply irrelevant to the instant motion for summary adjudication. The court therefore finds that Plaintiff fails to raise a triable issue of material fact to defeat the motion for summary adjudication.

Plaintiff's Request to Conduct Further Discovery

In the alternative, Plaintiff requests a continuance of the summary adjudication hearing to complete discovery of Ford's pre-purchase knowledge in accordance with Code of Civil Procedure section 437c, subdivision (h) which states:

> "If it appears from the affidavits submitted in opposition to a motion for summary judgment or summary adjudication, or both, that facts essential to justify opposition may exist but cannot, for reasons stated, be presented, the court shall deny the motion, order a continuance to permit affidavits to be obtained or discovery to be had, or make any other order as may be just. The application to continue the motion to obtain necessary discovery may also be made by ex parte motion at any time on or before the date the opposition response to the motion is due." (Code Civ. Proc., § 437c, subd. (h).)

"When a party makes a good faith showing by affidavit demonstrating that a continuance is necessary to obtain essential facts to oppose a motion for summary judgment, the trial court must grant the continuance request. [Citation.] 'Continuance of a summary judgment hearing is not mandatory, however, when no affidavit is submitted or when the submitted affidavit fails to make the necessary showing under [Code of Civil Procedure] section 437c, subdivision (h). [Citations.]' " (*Park v. First American Title Co.* (2011) 201 Cal.App.4th 1418, 1428.)

"An opposing party's declaration in support of a motion to continue the summary judgment hearing should show the following: (1) '*Facts* establishing *a likelihood that controverting evidence may exist* and *why* the information sought is *essential* to opposing the motion'; (2) 'The *specific reasons* why such evidence cannot be presented at the present time'; (3) 'An estimate of the time necessary to obtain such evidence'; and (4) 'The specific steps or procedures the opposing party intends to utilize to obtain such evidence.' [Citation.]" (*Johnson v. Alameda County Medical Center* (2012) 205 Cal.App.4th 521, 532 (*Johnson*).)

" 'Code of Civil Procedure section 437c, subdivision (h) requires more than a simple recital that "facts essential to justify opposition may exist." ' [Citation.] 'The statute cannot be employed as a device to get an automatic continuance by every unprepared party who simply files a declaration stating that unspecified essential facts may exist. The party seeking the continuance must justify the need, by detailing both the particular essential facts that may exist and the specific reasons why they cannot then be presented.' [Citation.]" (*Johnson, supra,* 205 Cal.App.4th at p. 532.)

"Where a plaintiff cannot make the showing required under section 437c, subdivision (h), a plaintiff may seek a continuance under the ordinary discretionary standard applied to requests for a continuance. [Citation.] This requires a showing of good cause. [Citation.] '[I]n deciding whether to continue a summary judgment to permit additional discovery courts consider various factors, including (1) how long the case has been pending; (2) how long the requesting party had to oppose the motion; (3) whether the continuance motion could have been made earlier; (4) the proximity of the trial date or the 30-day discovery cutoff before trial; (5) any prior continuances for the same reason; and (6) the question whether the evidence sought is truly essential to the motion.' [Citation.]" (*Hamilton v. Orange County Sheriff's Dept.* (2017) 8 Cal.App.5th 759, 765.)

Here, Plaintiff seeks further discovery of Ford's own internal engineering, pre-production testing, and warranty claims records concerning when Ford first identified the Transmission Defect. (See OPP at p. 12:11-21.) But, even though the opposition includes a declaration from Plaintiff's counsel, the declaration does not address the necessary factors for a mandatory continuance under section 437c, subdivision (h). Nor does Plaintiff qualify for a continuance under the discretionary standard as he fails to demonstrate good cause in connection with any of the factors set forth above. The court thus concludes that Plaintiff is not entitled to a continuance of the motion for summary adjudication to conduct further discovery.

Consequently, the motion for summary adjudication to the fifth cause of action is GRANTED.

<u>Disposition</u>

The motion for summary adjudication to the fifth cause of action against defendant Ford is GRANTED.

Plaintiff's request to continue the hearing on the motion for summary adjudication to conduct further discovery is DENIED.

The court will prepare the Order.

- oo0oo -

Calendar line 4
Case Name: *Zhao et al. v. Guo et al.*
Case No.: 25CV465349

DEFENDANTS' MOTION TO STAY AND PETITION TO COMPEL ARBITRATION

This matter arises from a medical malpractice action brought by Plaintiffs Yiting Zhao ("Ms. Zhao") and Tian Tian ("Mr. Tian") (collectively "Plaintiffs") against Defendants Chuntian Acupuncture Clinic, Inc. ("CAC") and Yueyue Guo, L.A.c. ("Dr. Guo") (collectively "Defendants"). Plaintiffs allege that Defendants negligently rendered acupuncture and related therapeutic treatment to Ms. Zhao in May 2024 in connection with the treatment of her preexisting knee injuries. (Complaint at p. 4.) Plaintiffs allege Defendants utilized a smoke-free moxibustion appliance that allegedly caused Ms. Zhao third-degree burns on her knees. (Ibid.) Ms. Zhao alleges that, as a result, she sustained significant injuries requiring multiple debridement procedures domestically and abroad, as well as ongoing physical pain, emotional distress, and limitations in her mobility and daily functioning. (Ibid.) Mr. Tian alleges loss of consortium as a result of his wife's injuries. (Ibid.)

Defendants petition the Court to compel arbitration of Plaintiffs' claims pursuant to an Arbitration Agreement ("Agreement") executed by Ms. Zhao as a condition of treatment. Plaintiffs do not dispute the existence or scope of the arbitration agreement. Instead, Plaintiffs contend that the fee-sharing provision is unconscionable because it requires them to bear arbitration costs that they cannot afford.

Plaintiffs have submitted declarations and supporting documentation concerning their financial condition and ability to pay their anticipated share of the arbitration costs. Defendants have had an opportunity to respond.

Having reviewed the parties' submissions, the Agreement, and the applicable law, the Court finds that additional limited evidence concerning Plaintiffs' present financial ability to pay is appropriate before the Court determines whether Plaintiffs are unable to pay their anticipated share of the reasonable costs of arbitration. The hearing is therefore continued for that limited purpose.

OBJECTIONS TO EVIDENCE

Defendants' objection to the Declaration of Yiting Zhao is DISREGARDED. The Court does not rely on the challenged portion of the declaration in this ruling.

Defendants' objection to the Declaration of Tian Tian is DISREGARDED. The Court does not rely on the challenged portion of the declaration in this ruling.

Defendants' Objections Nos. 1 and 2 to the Declaration of Daniel J. Libbey are SUSTAINED. Plaintiffs rely on the American Arbitration Association ("AAA") and Judicial Arbitration and Mediation Services ("JAMS") rules in estimating arbitration costs. The Agreement, however, specifically provides that the ADR Services, Inc. rules shall govern.

PROCEDURAL MATTERS

Under the California Arbitration Act ("CAA") (Code Civ. Proc., §§ 1280-1294.2), "[a] copy of the petition and a written notice of the time and place of the hearing thereof and any other papers upon which the petition is based shall be served" as provided by statute. (Code Civ. Proc., § 1290.4, subd. (a).) A response generally must be served and filed within 10 days after service of the petition, subject to extension by written agreement or court order for good cause. (Code Civ. Proc., § 1290.6.) If a response is not duly served and filed, the allegations of the petition may be deemed admitted. (Code Civ. Proc., § 1290.)

Defendants served their petition to compel arbitration on November 14, 2025. On May 26, 2025, Plaintiffs filed "Proposals as to Content of Statement of Decision" nine days after Defendants filed their memorandum of points and authorities in support of the petition to compel arbitration. Therein, Plaintiffs did not oppose the petition to compel arbitration, but instead requested that the Court make no findings concerning the merits of Plaintiffs' claims or Defendants' defenses. (Plaintiffs' Proposals Re Statement of Decision at p. 2:3-6.)

On June 1, 2026, Plaintiffs filed an opposition to Defendants' petition to compel arbitration. Defendants contend the opposition is untimely under Code of Civil Procedure section 1290.6. Plaintiffs filed their opposition pursuant to Code of Civil Procedure section 1005, subdivision (b), nine court days before the hearing.

Courts have held that a trial court may consider an untimely response where no prejudice is shown, without a formal order extending the 10-day period. (*Ruiz v. Moss Bros. Auto Group, Inc.* (2014) 232 Cal.App.4th 836, 847.) Good cause may exist where the petition is treated as a motion rather than a petition. (Ibid.) It is also recognized that, where an action is already pending, an application to compel arbitration may be treated in practice as a motion. (*Mercury Ins. Group v. Superior Court* (1998) 19 Cal.4th 332, 349; *Correia v. NB Baker Electric, Inc.* (2019) 32 Cal.App.5th 602, 613.)

Here, a complaint was filed before Defendants sought to compel arbitration. Defendants filed and served reply papers five court days before the hearing in accordance with Code of Civil Procedure section 1005, subdivision (b). Defendants therefore had an opportunity to respond to Plaintiffs' arguments and have not demonstrated prejudice resulting from the timing of the opposition.

Accordingly, the Court treats the petition as a motion for purposes of the timing of Plaintiffs' opposition. Good cause exists to consider the opposition, and the Court declines to deem the allegations of the petition admitted.

LEGAL STANDARD

Defendants contend the Federal Arbitration Act ("FAA") governs the Agreement because their operations affect interstate commerce. The FAA applies to contracts evidencing transactions "involving commerce," a term construed broadly to extend to the full reach of Congress's Commerce Clause authority. (9 U.S.C. § 2; *Nieto v. Fresno Beverage Co.* (2019) 33 Cal.App.5th 274, 279; *Citizens Bank v. Alafabco, Inc.* (2003) 539 U.S. 52, 56-57.)

In *Scott v. Yoho* (2016) 248 Cal.App.4th 392, 401-402, the court found sufficient interstate-commerce contacts in a California medical practice based on, among other things, the practice's use of medical supplies originating outside California, Internet advertising and communications with out-of-state patients, and contacts with out-of-state companies.

Here, CAC purchases supplies and equipment from vendors located both inside and outside California, receives shipments through interstate commercial carriers, processes payments through interstate banking and credit-card networks, procures professional liability insurance through out-of-state entities, and conducts business communications and transactions through Internet-based and interstate telecommunications systems. (Declaration of Wing Yang-Vivian Ip, ¶ 19.) The Court finds these activities sufficient to establish the requisite nexus with interstate commerce. The FAA therefore governs the Agreement.

Under the FAA, the Court's role generally is limited to determining "(1) whether a valid agreement to arbitrate exists, and if it does (2) whether the agreement encompasses the dispute at issue." (*Chiron Corp. v. Ortho Diagnostic Systems, Inc.* (9th Cir. 2000) 207 F.3d 1126, 1130.) State-law principles governing contract formation apply to the first inquiry. (*Davis v. Nordstrom, Inc.* (9th Cir. 2014) 755 F.3d 1089, 1093.)

The CAA similarly provides that, upon a petition alleging the existence of a written arbitration agreement and a refusal to arbitrate, the Court shall order arbitration if it determines that an agreement to arbitrate the controversy exists, unless the right to compel arbitration has been waived or grounds exist for rescission. (Code Civ. Proc., § 1281.2.)

In determining whether an arbitration agreement exists, courts employ a burden-shifting framework. The party seeking arbitration bears the initial burden of producing prima facie evidence of a written agreement to arbitrate. If that burden is met, the burden shifts to the opposing party to identify a factual dispute concerning the agreement's existence. If such a dispute is established, the burden shifts back to the proponent of arbitration to prove the existence of a valid agreement by a preponderance of the evidence. (*Iyere v. Wise Auto Group* (2023) 87 Cal.App.5th 747, 755; *Espejo v. Southern California Permanente Medical Group* (2016) 246 Cal.App.4th 1047, 1060.)

ANALYSIS

There Is a Valid Agreement to Arbitrate

A valid agreement to arbitrate exists between the parties.

The moving party may meet its initial burden by attaching a copy of an arbitration agreement purporting to bear the opposing party's signature. (*Gamboa v. Northeast Community Clinic* (2021) 72 Cal.App.5th 158.) Defendants attached the Agreement to their petition. The Agreement was signed by Ms. Zhao on November 16, 2022. (Petition to Compel Arbitration, Ex. A.) A party may expressly accept an agreement to arbitrate by signing it. (*Mendoza v. Trans Valley Transport* (2022) 75 Cal.App.5th 748, 777.)

Ms. Zhao does not dispute signing the Agreement or otherwise establish a factual dispute concerning its formation. Defendants have therefore established the existence of a valid agreement to arbitrate.

Plaintiffs' Claims Fall Within the Scope of the Agreement

The scope of the agreement is covered by Plaintiffs' claims. Here the Arbitration Agreement provides that it applies to:

> . . . any dispute as to medical malpractice, that is as to whether any medical services rendered under this contract were unnecessary or unauthorized or were improperly, negligently, or incompetently rendered, will be determined by submission to arbitration as provided by California and federal law, and not by a lawsuit or resort to court process except as California and federal law provide for judicial review of arbitration proceedings.

(Petition to Compel Arbitration, Ex. A at Article 1.)

In this action, Plaintiffs bring the sole cause of action for professional negligence and assert that Dr. Guo's use of a smoke-free moxibustion appliance caused Ms. Zhao third-degree burns on both her of her knees. (Complaint at p. 4.) Plaintiffs allege "as a result of Defendants' negligent use of this machine—without appropriate assessment, informed consent, or precaution—Plaintiff Zhao sustained significant injuries requiring multiple debridement procedures both domestically and abroad." (*Ibid.*) Thus, Plaintiffs claim for medical malpractice rests on the allegation that medical services were negligently rendered and is encompassed by the Arbitration Agreement.

To the extent Mr. Tian alleges a claim for loss of consortium, that is also encompassed by the Arbitration Agreement. The Agreement specifically provides, "[i]t is the intention of the parties that this agreement bind all parties as to all claims, including claims arising out of or relating to treatment or services provided by the healthcare provider including any heirs or past, present, or future spouse(s) of the patient in relation to all claims including loss of consortium." (Petition to Compel Arbitration, Ex. A at Article 2.) The Agreement further states, "[a]ll claims for monetary damage . . . must be arbitrated including, without limitation, claims for loss of consortium . . . ." (*Ibid.*) Therefore, all of Plaintiffs' claims are covered by the scope of the Agreement.

The Delegation Clause Is Clear and Unmistakable

The parties may agree to delegate questions of arbitrability to the arbitrator. Such an agreement will be enforced where there is "clear and unmistakable" evidence that the parties intended to delegate arbitrability. (*First Options of Chicago, Inc. v. Kaplan* (1995) 514 U.S. 938, 943-945.)

Here, Article 2 of the Agreement provides:

> "[A]ny dispute that does not relate to medical malpractice, including as to whether or not a dispute is subject to arbitration, as to whether this agreement is unconscionable, and any procedural disputes, will also be determined by submission to binding arbitration."

The language clearly and unmistakably delegates questions concerning arbitrability and the enforceability of the arbitration provision to the arbitrator.

Under *Aanderud v. Superior Court* (2017) 13 Cal.App.5th 880, 895-898, where a delegation provision is clear and unmistakable, a challenge to the arbitration agreement generally must be directed specifically to the delegation provision itself for the Court to decide the challenge. Plaintiffs have not established that the delegation provision itself is unconscionable.

The Court therefore does not decide Plaintiffs' general unconscionability challenge to the Agreement. That issue, to the extent it remains at issue, is delegated to the arbitrator. The Court likewise makes no determination concerning the merits of Plaintiffs' claims or Defendants' defenses. Those matters are properly addressed in arbitration.

Plaintiffs' Present Ability to Pay Arbitration Costs

Plaintiffs also contend that they cannot afford the arbitration costs required by the Agreement. This issue requires separate consideration.

The Agreement provides: "Each party to the arbitration shall pay such party's equal share of the expenses and fees of the neutral arbitrator, together with other expenses of the arbitration incurred or approved by the neutral arbitrator, not including counsel fees, witness fees, or other expenses for such party's own benefit."

The provision is consistent with the default allocation rule in Code of Civil Procedure section 1284.2, which generally requires each party to pay its pro rata share of arbitration expenses unless the agreement provides otherwise. Section 1284.2, however, does not resolve whether enforcement of that allocation would effectively deny a party access to the arbitral forum because of an inability to pay.

California courts have recognized that arbitration cannot be enforced in a manner that effectively deprives a party of any forum for resolution of his or her claims because the party cannot afford the costs of arbitration. (*Gutierrez v. Autowest, Inc.* (2003) 114 Cal.App.4th 77, 90-91; *Roldan v. Callahan & Blaine* (2013) 219 Cal.App.4th 87, 94-96; *Penilla v. Westmont Corp.* (2016) 3 Cal.App.5th 205, 218.)

The party resisting arbitration bears the burden of demonstrating that the anticipated arbitration costs are likely to be prohibitive. (*Penilla*, supra, 3 Cal.App.5th at p. 218; *Green Tree Financial Corp.-Alabama v. Randolph* (2000) 531 U.S. 79, 92.)

In *Roldan*, the Court of Appeal directed the trial court to: (1) estimate the reasonable cost of the arbitration; (2) determine whether the plaintiffs were financially able to pay their anticipated share; and (3) if a plaintiff was unable to do so, give the party seeking arbitration the option of paying that plaintiff's share or waiving its right to arbitrate that plaintiff's claims. (*Roldan*, supra, 219 Cal.App.4th at p. 90.)

More recently, *Sanchez v. Superior Court* (2025) 108 Cal.App.5th 615 reaffirmed *Roldan* and clarified that relief based upon a party's present inability to pay arbitration fees and costs is distinct from a determination that an arbitration agreement was unconscionable when made. Thus, even if a party cannot establish that it lacked the ability to pay when the agreement was executed, a present inability to pay arbitration fees and costs may warrant relief. (*Sanchez*, supra, 108 Cal.App.5th at pp. 633-636.)

Accordingly, the Court must determine both the reasonable anticipated cost of the arbitration and whether Plaintiffs are presently financially able to pay their anticipated share.

Anticipated Cost of Arbitration

Plaintiffs' estimates based upon the AAA and JAMS rules are not applicable because the Agreement expressly provides that the ADR Services, Inc. rules shall govern. (Petition to Compel Arbitration, Ex. A, Art. 3.)

ADR Services, Inc.'s fee schedule provides for a $450 initial filing fee and $975 administrative fee. (Trobough Decl., Ex. A.)

Plaintiffs have not established a sufficient basis for assuming a five-day evidentiary hearing. This action involves a single professional-negligence claim and a derivative loss-of-consortium claim arising from a single event. The Court therefore finds that two evidentiary hearing days is a more reasonable estimate for purposes of determining the anticipated cost. Plaintiffs likewise have not established a basis for assuming that an arbitrator charging $9,000 per day will necessarily be selected. Defendants acknowledge that approximately $600 per hour is a more typical rate, although they identify a $9,000 daily rate at the higher end of the range. (Trobough Decl., ¶ 27.)

Defendants estimate the total arbitration costs to be approximately $18,825 to $27,225, consisting of $1,425 in filing and administrative fees, $12,000 to $18,000 for two hearing dates, $2,400 to $3,600 for four to six hours of pre-hearing arbitrator time, $1,800 to $2,400 for three to four hours of award preparation and post-hearing time, and $1,200 to $1,800 for two to three hours of other arbitrator time. (Id., ¶¶ 29-30.)

The Court finds this range reasonable for purposes of the present analysis. Plaintiffs' anticipated pro rata share is therefore approximately $9,412.50 to $13,612.50.

Plaintiffs' Financial Circumstances

Plaintiffs have submitted evidence concerning their current financial circumstances.

Plaintiffs collectively receive approximately $12,108.12 in monthly income. (Declaration of Yiting Zhao, Ex. 2; Declaration of Tian Tian, ¶ 5.) Their mortgage, vehicle loan payments, property taxes, homeowners' and automobile insurance, homeowners' association dues, and utilities total approximately $11,673.82 per month, leaving approximately $326.18 before food, gasoline, medical care, and other necessary household expenses. (Zhao Decl., Ex. 3; Tian Decl., ¶¶ 6-7.) Plaintiffs have approximately $6,129 in checking and savings accounts. (Zhao Decl., Ex. 4; Tian Decl., ¶ 11.) Ms. Zhao also reports approximately $11,218.48 in lost income and approximately $61,763.84 in medical expenses, although some of those charges have been paid or adjusted by insurance. This evidence constitutes a substantial showing that Plaintiffs have limited liquid resources and that their ordinary monthly expenses consume virtually all of their reported household income. Their reported liquid savings are less than even the low end of their anticipated share of arbitration costs.

The evidence is not yet sufficient, however, to permit the Court to determine whether Plaintiffs are presently unable to pay their anticipated share. Plaintiffs own a residence, but the record does not disclose its current fair-market value, the outstanding mortgage balance, or the amount of equity. The record also does not adequately identify whether Plaintiffs have other significant assets or readily available investment resources.

The Court does not require Plaintiffs to establish indigency, nor does it require disclosure of every aspect of their financial affairs. The question is whether Plaintiffs are presently financially able to pay their anticipated share of the reasonable cost of arbitration. Ownership of a residence does not, standing alone, establish an ability to pay; conversely, the existence of substantial accessible equity or other liquid assets could be relevant to the inquiry.

The Court therefore finds that a limited supplementation of the financial record is appropriate.

Plaintiffs shall provide the following:

1. **Residence.** A declaration stating the approximate current fair-market value of the residence, the outstanding balance of the mortgage and any other liens, and the resulting approximate equity.
2. **Other significant assets.** A declaration identifying any significant non-retirement liquid or readily accessible assets, including investment or brokerage accounts, and their approximate current values.
3. **Significant debts or obligations.** A declaration identifying significant outstanding debts or obligations, particularly obligations arising from medical expenses or other necessary expenses, that materially affect Plaintiffs' ability to pay the anticipated arbitration costs.
4. **Current income and liquid assets.** Current documentation reasonably supporting the reported household income and checking/savings balances, such as recent pay statements and current account statements, to the extent such documentation has not already been submitted.

Plaintiffs need not submit complete tax returns or documentation of every retirement account at this time. Plaintiffs shall, however, identify any retirement or other assets that are reasonably accessible and material to their ability to pay. Assets subject to substantial withdrawal restrictions, tax consequences, or penalties need not be treated as equivalent to readily available cash without further evidence.

Defendants may submit evidence disputing the reasonableness of the anticipated arbitration costs or Plaintiffs' claimed inability to pay.

The Court will determine the issue based upon the supplemental declarations and documentary evidence unless the parties demonstrate a material factual dispute requiring an evidentiary hearing.

Effect of the Court's Determination

The Court does not presently determine that the arbitration agreement or its fee-sharing provision is unconscionable. The Agreement contains a clear and unmistakable delegation clause, and Plaintiffs have not demonstrated that the delegation clause itself is unconscionable. (*Aanderud*, supra, 13 Cal.App.5th at pp. 895-898.) The Court's present inquiry instead concerns Plaintiffs' ability to pay the anticipated costs of arbitration. As *Roldan* and *Sanchez* recognize, present inability to pay arbitration costs is a distinct issue from whether the arbitration agreement was unconscionable when entered into.

If the Court determines that one or both Plaintiffs are unable to pay their anticipated share, Defendants shall be afforded the option of either paying the affected Plaintiff's share of the reasonable arbitration costs or waiving their right to arbitrate that Plaintiff's claims. (*Roldan*, supra, 219 Cal.App.4th at p. 90.) If Defendants decline to pay and instead waive arbitration, the affected claims may proceed in this Court. (*Hang v. RG Legacy, LLC* (2023) 88 Cal.App.5th 1243, 1255.)

CONCLUSION

The petition to compel arbitration is CONTINUED to November 13, 2026. Plaintiffs' supplemental declaration and supporting documentation shall be filed and served by October 22, 2026. Defendants' response, if any, shall be filed and served by November 2, 2026.The supplemental submissions shall be limited to the issues identified above.

- oo0oo –

Calendar Line 5 - 8
Case Name: *Jason Adair v. Elisity, Inc.*
Case No.: 25CV476583

PLAINTIFF'S MOTIONS TO COMPEL FURTHER DISCOVERY RESPONSES AND REQUESTS FOR MONETARY SANCTIONS

BACKGROUND

Plaintiff served written discovery on Defendant on or about October 25, 2025, including Form Interrogatories—General, Form Interrogatories—Employment, Special Interrogatories, Requests for Admission, and Requests for Production of Documents. Defendant did not timely serve discovery responses and did not timely respond to the complaint. Plaintiff then filed a request for entry of default on November 24, 2025.

On December 2, 2025, the parties entered into a stipulation under which Plaintiff agreed to withdraw the request for default and Defendant agreed to respond to the complaint and serve verified responses to Plaintiff's outstanding discovery. On December 11, 2025, Defendant's counsel asserted that Plaintiff's claims were subject to arbitration and asked Plaintiff to agree to arbitrate. Plaintiff declined to stipulate to arbitration.

On January 2, 2026, Defendant served responses to the discovery consisting of objections asserting, among other things, that discovery was improper because the matter allegedly belonged in arbitration and Defendant would bring a motion to compel arbitration and stay proceedings. Defendant's Form Interrogatory—Employment responses likewise asserted that Defendant would move to compel arbitration and stay proceedings and provided no substantive responses. Plaintiff filed the pending motions on January 12, 2026.

Defendant later served supplemental responses on February 12, 2026, and further responses and document production on June 15, 2026. Defendant nevertheless states that it preserved its arbitration objection in the supplemental responses. As of Plaintiff's supplemental declaration filed August 26, 2026, Defendant had not filed any motion to compel arbitration, and no stay of this action or discovery had been sought or ordered. Defendant's opposition also described its arbitration motion as "forthcoming," not filed.

Arbitration Does Not Stay These Motions or Excuse Defendant's Discovery Obligations

Defendant's arbitration argument does not justify its refusal to provide timely, substantive discovery responses and does not warrant denial or a stay of these motions.

Code of Civil Procedure section 1281.4 requires a stay only where arbitration has been ordered or where an application for an order to arbitrate has been made and remains undetermined. Here, Defendant has not filed a petition or motion to compel arbitration, and no order compelling arbitration has been entered. An unfiled, anticipated motion does not trigger a statutory stay and does not permit a party to unilaterally suspend discovery obligations. Cal Code Civ Proc § 1281.4.

Defendant's position is particularly unpersuasive because it first raised arbitration after agreeing to serve verified discovery responses, then served objection-only responses, and then waited months while repeatedly describing a motion to compel arbitration as forthcoming. Defendant's failure to file the motion it has been invoking since December 2025 is dispositive of the stay issue for purposes of these discovery motions.

Effect of Defendant's Supplemental Responses

Defendant argues that the motions should be denied as moot because Defendant later served supplemental responses. The Court disagrees in part.

The supplemental responses may narrow what remains for adjudication, and the Court will not decide any new, request-by-request challenge to the substantive sufficiency of supplemental responses that was not properly presented in these motions. However, the motions are not moot to the extent they seek an order that Defendant's untimely objections were waived and that Defendant must provide verified, code-compliant responses without objections. Defendant concedes that it continued to preserve at least its arbitration objection in the supplemental responses. That is the same objection challenged by the motions.

Because Defendant failed to timely respond and has not obtained relief from waiver, the Court finds Defendant waived its objections to the discovery at issue. That waiver includes objections based on privilege and work product for the interrogatories and requests for production. Defendant has not filed a motion for relief from waiver and has not shown a basis to preserve the objections asserted in its untimely responses.

Motion to Compel Further Responses to Form Interrogatories—General, Set One

Plaintiff's motion to compel further responses to Form Interrogatories—General, Set One, is granted in part.

Defendant shall serve amended, verified, code-compliant responses to the Form Interrogatories—General at issue in the motion, without objections, within 10 calendar days of service of this order.

The Court does not adjudicate any new substantive deficiency in Defendant's later supplemental responses except to the extent those responses continue to assert waived objections, including the arbitration objection.

Motion to Compel Further Responses to Form Interrogatories—Employment, Set One

Plaintiff's motion to compel further responses to Form Interrogatories—Employment, Set One, is granted in part.

The interrogatories at issue include Form Interrogatory Nos. 200.1, 200.2, 200.3, 200.4, 200.5, 200.6, 201.1, 201.2, 201.5, 201.6, 207.1, 207.2, 208.1, 208.2, 209.2, 211.1, 215.1, 215.2, and 216.1.

Defendant shall serve amended, verified, code-compliant responses to those interrogatories, without objections, within 10 calendar days of service of this order. The amended responses must be complete and straightforward and must answer each subpart to the extent information is reasonably available.

Defendant's arbitration objection is overruled. Defendant's privilege and work-product objections are waived for purposes of these interrogatories because Defendant did not timely respond and has not obtained relief from waiver.

Motion to Compel Further Responses to Requests for Production, Set One

Plaintiff's motion to compel further responses to Requests for Production of Documents, Set One, is granted in part.

The requests at issue are Request Nos. 1 through 24.

Defendant shall serve amended, verified, code-compliant responses to Request Nos. 1 through 24, without objections, within 10 calendar days of service of this order. For each request, Defendant shall state whether it will comply in whole or in part, whether it lacks the ability to comply after a diligent search and reasonable inquiry, and whether responsive documents have been produced.

Defendant shall produce all responsive documents within 10 calendar days of service of this order to the extent such documents have not already been produced. If Defendant contends any responsive documents previously have been produced, the amended responses must identify the production sufficiently to permit Plaintiff to locate the responsive materials, including Bates ranges where available.

Defendant's arbitration objection is overruled. Defendant's privilege, work-product, privacy, burden, overbreadth, confidentiality, and proportionality objections are waived because Defendant did not timely respond and has not obtained relief from waiver. To the extent Defendant has withheld documents solely on the basis of those objections, Defendant shall produce them within the deadline stated above. Defendant may not continue withholding responsive documents based on waived objections absent further order of the Court.

Motion to Compel Further Responses to Requests for Admission, Set One

Plaintiff's motion to compel further responses to Requests for Admission, Set One, is granted in part.

Defendant shall serve amended, verified, code-compliant responses to the Requests for Admission at issue in the motion, without objections, within 10 calendar days of service of this order. Each response shall admit the matter, deny the matter, or state in detail why Defendant cannot truthfully admit or deny the matter after reasonable inquiry.

To the extent Plaintiff seeks an order striking Defendant's continued assertion of waived objections, the motion is granted. To the extent Plaintiff seeks adjudication of new substantive deficiencies in supplemental responses not presented in the moving papers, that request is denied without prejudice to a properly noticed motion following any required meet-and-confer process.

Sanctions

Plaintiff requests monetary sanctions in connection with the discovery motions. The motions for Form Interrogatories—Employment and Requests for Production each request $3,600 in sanctions. Plaintiff's consolidated reply requests sanctions on the four motions addressed in that reply. Defendant's opposition recognizes that Plaintiff seeks sanctions on each of the motions.

Sanctions are warranted. Defendant failed to timely serve discovery responses, served objection-only responses after agreeing to provide verified discovery responses, and relied on an arbitration motion that Defendant never filed. That conduct was not substantially justified. Defendant's later supplemental responses do not eliminate the basis for sanctions, particularly where the motions were necessary to address Defendant's waived objections and unilateral refusal to respond.

Plaintiff's request for monetary sanctions is granted for 1.5 hours at $900 hourly attorney's fees per motion in the total amount of $5,400. Defendant Elisity, Inc. shall pay that amount to Plaintiff's counsel within 30 calendar days of service of this order.

Order

1. Plaintiff's motion to compel further responses to Form Interrogatories—General, Set One, is granted in part.
2. Plaintiff's motion to compel further responses to Form Interrogatories—Employment, Set One, is granted in part.
3. Plaintiff's motion to compel further responses to Requests for Production of Documents, Set One, is granted in part.
4. Plaintiff's motion to compel further responses to Requests for Admission, Set One, is granted in part.
5. Defendant's request to deny or stay the motions based on a forthcoming motion to compel arbitration is DENIED.
6. Defendant shall serve amended, verified, code-compliant responses, without objections, within 10 calendar days of service of this order.
7. Defendant shall produce all responsive documents required by this order within 10 calendar days of service of this order, to the extent not already produced.
8. Plaintiff's requests for monetary sanctions are granted for 1.5 hours per motion in the total amount of $5,400. Defendant Elisity, Inc. shall pay that amount to Plaintiff's counsel within 30 calendar days of service of this order.

Plaintiff to prepare the final proposed order, accompanied by the necessary EFS-020 form, within 7 days of the hearing.

- oo0oo -